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Question 1

Not yet
answered

Flag question

A public enterprise loses 75% of its paid-up capital. Under Proclamation No. 25/1992, what is the immediate consequence?

- ☐ a. The government provides a subsidy.
- ☐ b. The enterprise must issue new shares.
- ☐ c. The enterprise continues but with reduced capital.
- ☐ d. The enterprise is automatically dissolved.

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Question 2

Not yet
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Flag question

Which statement is **NOT** true about jointly controlled entity?

- ☐ a. Parties with joint control have the rights to assets and obligation for liabilities.
- ☐ b. Separate entity will be established to conduct joint activities.
- ☐ c. The separate vehicle owns the assets and liabilities, not the parties directly.
- ☐ d. Parties with joint control have the right to net asset of the arrangements.

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Question 3

Not yet
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A company owns 50 cattle's which are saleable in their market condition. The market price of the cattle is ETB 30,000 each and total transportation cost of the cattle to market is ETB 10,000. Commissions to brokers are estimated at 12% of total market price of the cattle. What is the fair value less point of sales cost of biological assets?

- ☐ a. ETB 1,321,200
- ☐ b. ETB 1,311,200
- ☐ c. ETB 1,320,000
- ☐ d. ETB 1,310,000

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Question 4

Not yet
answered

Flag question

The scope of Agricultural Accounting (IAS 41) include:

- ☐ a. Agricultural produce at the point of harvest.
- ☐ b. Bearer plants related to agricultural activity.
- ☐ c. Agricultural activity that is not managed.
- ☐ d. Land on which biological assets grow.

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[Hide](#)**Question 5**Not yet
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On January 1, Year 1, a company issued bonds for ETB 500,000 face value at 96. The bond pays 8% annual interest each December 31 mature in five years. The effective interest rate is 9%. What is the interest expense for Year 1?

- ☐ a. ETB 48,000
- ☐ b. ETB 43,200
- ☐ c. ETB 40,000
- ☐ d. ETB 45,000

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Question 6

Not yet
answered

Flag question

If an auditor finds that only 80 out of 100 sampled sales transactions are verified as accurate, what is the most likely conclusion?

- ☐ a. There may be material misstatements in sales.
- ☐ b. All sales are fairly stated.
- ☐ c. The audit can be completed without further testing.
- ☐ d. Sales transactions are only partially recorded.

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Question 7

Not yet
answered

Flag question

A company overstated its ending inventory by ETB 8,000 at the end of Year 1. Assuming no other errors, what is the effect on Year 2's net income?

- ☐ a. No effect
- ☐ b. Overstated by ETB 4,000
- ☐ c. Understated by ETB 8,000
- ☐ d. Overstated by ETB 8,000

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[Hide](#)**Question 8**Not yet
answered[Flag question](#)

Allowance for doubtful accounts (AFDA) has a credit balance of ETB 1,000 before adjustment. An aging of accounts receivable estimates the uncollectable accounts total ETB 5,000. What is the required adjusting entry?

- ☐ a. Debit AFDA ETB 4,000; Credit Bad Debt Expenses ETB 4,000
- ☐ b. Debit Bad Debt Expense ETB 4,000; Credit Accounts Receivable ETB 4,000
- ☐ c. Debit Bad Debt Expense ETB 5,000; Credit AFDA ETB 5,000
- ☐ d. Debit Bad Debt Expense ETB 4,000; Credit AFDA ETB 4,000

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A company uses the FIFO method under a periodic inventory system. Beginning inventory: 300 units at ETB 40. Purchases: 500 units at ETB 50. Ending inventory counts: 200 units. What is the cost of goods sold?

- ☐ a. ETB 37,000
- ☐ b. ETB 27,000
- ☐ c. ETB 29,000
- ☐ d. ETB 10,000

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Question 10Not yet
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A group of insurance contracts has fulfilment cash flows (excluding contractual service margin) of ETB 800,000 (liability). Premium received at initial recognition are ETB 950,000. What is the contractual service margin?

- ☐ a. ETB 800,000
- ☐ b. ETB 950,000
- ☐ c. ETB 0
- ☐ d. ETB 150,000

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Question 11

Not yet
answered

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Which of the following shows the difference between Businesses, and Government and **Not** for Profit Entities?

- ☐ a. Integral part of an economic system.
- ☐ b. Acquire resources to provide goods or services.
- ☐ c. Need financial information systems.
- ☐ d. Organizational objectives.

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Question 12Not yet
answered Flag question

Which of the following is correct regarding cost accounting?

- ☐ a. It measures the non-operating efficiency of the enterprise.
- ☐ b. Its main objective is providing an accounting information for tax purpose.
- ☐ c. It provides information for managerial decisions for formulating operative policies.
- ☐ d. It used for financial performance of the company, by preparing financial analysis.

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Question 13

Not yet
answered

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A fiduciary fund which accounts assets held by a governmental unit in a trustee capacity for employee's is called;

- ☐ a. Pension trust funds
- ☐ b. Employee fund
- ☐ c. Internal service fund
- ☐ d. Capital projects fund

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Question 14

Not yet
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An auditor decides to test a sample of 100 purchase orders using attribute sampling. If 85 out of 100 purchase orders are properly approved, what is the approval rate determined by the auditor?

- ☐ a. 90%
- ☐ b. 80%
- ☐ c. 75%
- ☐ d. 85%

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Question 15

Not yet
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In the context of auditing, what does 'due care' require?

- ☐ a. Minimizing the time spent on each audit
- ☐ b. Conducting audits at the lowest possible cost
- ☐ c. Providing the highest level of assurance
- ☐ d. Exercising diligence and following professional standards

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Question 16

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A company has bought a building for ETB 10,000,000. The building has three major components. Structure (Useful life 40 years, Cost ETB 8,000,000), Roof (Useful life 20 years, Cost ETB 1,500,000), and Elevators (Useful life 10 years, Cost ETB 500,000). All have zero residual value. What is the total depreciation expense for the first year using the component depreciation method under IFRS?

- ☐ a. ETB 325,000
- ☐ b. ETB 400,000
- ☐ c. ETB 500,000
- ☐ d. ETB 200,000

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Question 17

Not yet
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Financial systems support economic development by:

- ☐ a. Reducing inflation.
- ☐ b. Ensuring efficient capital allocation.
- ☐ c. Restraining financial innovation.
- ☐ d. Increasing trade barriers.

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Question 18

Not yet
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Parent sells inventory to 80% owned subsidiary for ETB 50,000 at a profit of ETB 12,000. The subsidiary still holds 50% of the goods at year end. What is the elimination entry for unrealized profit?

- ☐ a. Debit Sales ETB 50,000; Credit COGS ETB 44,000; Credit Inventory ETB 6,000
- ☐ b. Debit Sales ETB 50,000; Credit COGS ETB 38,000; Credit Inventory ETB 12,000
- ☐ c. Debit Inventory ETB 6,000; Credit COGS ETB 6,000
- ☐ d. Debit Sales ETB 50,000; Credit COGS ETB 50,000; Credit Inventory ETB 6,000

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Question 19

Not yet
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Which ratios are performed related to the firm's ability to meet its obligations in the short- run?

- ☐ a. Liquidity ratio
- ☐ b. Leverage ratio
- ☐ c. Profitability ratio
- ☐ d. Activity ratio

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Question 20

Not yet
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A VAT registered business in Ethiopia needs to file its monthly VAT return. Which of the following four steps in the correct chronological order?

- I. Calculate the net VAT by subtracting Input VAT from Output VAT.
- II. Complete the detailed sales and purchase schedule.
- III. Submit the VAT return (Form VAT 1) via online e-filing portal.
- IV. Gather VAT invoices of the month's purchase and sales.

- ☐ a. IV, II, I, III
- ☐ b. IV, I, II, III
- ☐ c. IV, II, III, I
- ☐ d. II, IV, I, III

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Question 21

Not yet
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Flag question

What is the primary purpose of preparing a trial balance?

- ☐ a. To replace the need for adjusting entries.
- ☐ b. To detect the type of errors made during the period.
- ☐ c. To prove that total debits equal total credits after posting.
- ☐ d. To show the net income of the company.

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Question 22

Not yet
answered

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Under IAS 40, which of the following is classified as investment property?

- ☐ a. Land held for sale in normal business.
- ☐ b. Property for future factory development.
- ☐ c. Building leased to a third party under operating lease.
- ☐ d. Building used for corporate office.

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Question 23

Not yet
answered

Flag question

A company uses cost plus pricing. The full cost per unit is £18.50 and the company wants a 20% return on sales. The selling price per unit should be:

- ☐ a. £18.00
- ☐ b. £18.50
- ☐ c. £22.50
- ☐ d. £22.00

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Question 24

Not yet
answered

Flag question

A sale is made with terms FOB destination. Who is responsible for paying the freight cost?

- ☐ a. The freight company
- ☐ b. The buyer alone
- ☐ c. The seller alone
- ☐ d. Buyer and seller equally

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[Hide](#)**Question 25**Not yet
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Flag question

An auditor uses systematic procedures to compare financial ratios across multiple years. This is an example of which type of evidence?

- ☐ a. Analytical evidence
- ☐ b. Physical evidence
- ☐ c. Recalculation evidence
- ☐ d. Testimonial evidence

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Question 26

Not yet
answered

Flag question

The following four steps are used to test a computerized perpetual inventory system. Place the four steps in the correct chronological order?

- I. Compare count to system.
- II. Observe physical count.
- III. Sample the system.
- IV. Trace the final report.

- ☐ a. I, II, III, IV
- ☐ b. II, III, I, IV
- ☐ c. III, II, IV, I
- ☐ d. II, I, III, IV

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